

On the anvil are products worth Rs 5-6 crore in the form of film-based toys, a jewellery and apparel line, and funky mugs. "Heyy Baby will be the first big merchandising deal for a non-super-hero film," explains Shah of P9, which structured the deal.

The next big opportunity comes in the form of music rights, wherein the digital rights are mostly embedded. In 2002, the music for Sanjay Leela Bhansali's *Devdas* was sold for an astronomical Rs 12 crore. Since then, however, the music industry has shrunk from Rs 1,081 crore in 2000-01 to Rs 710 crore in 2005-06. It is now finding its feet on the back of revenues from mobile music downloads, which stand at Rs 450 crore. Thanks to intermediaries though, the industry's share is only Rs 70-80 crore. Despite this, the consumption of digital music is expected to zoom to Rs 3,600 crore by 2009-10, says a Soundbuzz-PricewaterhouseCoopers report.

The popularity of Bollywood music is not confined to India. Hungama, an entertainment company, runs Bollywood channels on European and South-east Asian WAP networks, and revenues from these sites are not insignificant. Since last year, Indian music has been debuting on iTunes and other online channels like Rhapsody, generating newer streams of revenue.

Digital rights for related activities like wallpaper downloads, games and video clips are often bundled with music rights—which usually contribute 7-10 per cent of the film's total revenues—and are sub-let to a mobile music aggregator like Hungama or Mauj. Mauj, which has a deal with Eros, pays Rs 50 lakh-Rs 1.5 crore per film. Digital rights comprise a minimum guarantee over and above which a revenue-sharing agreement is applicable. If a film's music and digital content do well, the producer stands to gain even after the film is out of theatres, and can earn a steady flow of revenue after the content company has recovered its costs. As networks converge and download speeds improve, the hand-held will also become a huge distribution area for films, says Neeraj Roy, CEO, Hungama Entertainment.

DAMAGE CONTROL



TARA RUM PUM

Production cost: Not available (NA)
Domestic B.O. revenue: Rs 34.39 cr
Overseas revenue: Rs 9 cr
PRE-SALE REVENUE: NA



JHOOM BARABAR JHOOM

Production cost: Not available
Domestic B.O. revenue: Rs 26.26 cr
Overseas revenue: Rs 9 cr
PRE-SALE REVENUE: NA



NAMASTE LONDON

Production cost: Rs 21 cr
Total revenue: Rs 63.5 cr
Domestic B.O. revenue: Rs 37 cr
Overseas revenue: Rs 10 cr
PRE-SALE REVENUE
Music, home video: Rs 7.5 cr



AAP KA SURROO, THE MOVIE

Production cost: Rs 20 cr
Total revenue: Rs 47.5 cr
Domestic B.O. revenue: Rs 22 cr
Overseas revenue: Rs 8 cr
PRE-SALE REVENUE
Music, satellite rights: Rs 15 cr

With 68 million cable TV homes, India is the third largest market in terms of cable and satellite reach and among the largest content creating markets. DTH and IPTV penetration is expanding steadily, driven by investment of \$4 billion (Rs 800 crore) by players like Tata Sky, Reliance ADAG, Dish TV, Bharti and MTNL. Analysts expect India to have over 37 million digital homes by 2010. India's 300 TV channels are warring for content, pushing up the acquisition cost of films. Eros acquired the world rights for *Cheeni Kum* for Rs 13 crore and sold the satellite rights for Rs 8 crore, hedging the risk from theatrical release. Explains Sandeep Bhargava, CEO, Studio18: "Filmmakers today refuse to sell the shoe along with the laces, preferring to sell DTH, IPTV and satellite rights separately."

In the US, the theatrical market is worth \$9.2 billion (Rs 3,680 crore) while the home video market is nearly double at \$17 billion (Rs 6,800 crore). In contrast, Bollywood is a Rs 6,000-crore industry, while the Indian home video market is merely Rs 650 crore, of which 50 per cent are pirated CDs and DVDs. As newer players build content libraries and drive down the cost of hardware, the home video space will develop and widen. Now that Moser Baer has invaded this space with a warchest of 8,000 titles priced at Rs 49 for DVDs and Rs 34 for VCDs, the market is all set to implode. It helps that India has three crore VCD and DVD homes. Home video rights are now being sold to players even before the film's release and the time lag between the release and the market launch is also narrowing. Moser Baer is planning to bring out the DVD of *Apne*, the rights of which had been acquired before release for Rs 3 crore, just three weeks after its theatrical release.

Indian films are also travelling to non-traditional markets like Germany and Spain, where the diaspora is not driving the consumption. *KANK*, for instance, premiered in Tokyo and Germany. With growing demand, revenues, too, are becoming more secure, as distributors in these markets are willing to shell out minimum guarantees for theatrical releases. No wonder producers are laughing their way to their banks, well before Friday. ■